

Finally, notice how this threesome tends to get narrower and shorter as the decline proceeds. With descending scallops, this feature is not nearly as pronounced as it is for ascending scallops. By that, I mean sometimes you can determine the trend end by seeing if the scallop gets shorter and/or narrower as price moves along a trend. When the AB peaks are about equal in price, the trend end might be near.

Identification Guidelines

[Table 59.1](#) shows the identification guidelines.

Appearance. Look for a reverse J shape, with the left side of the scallop higher than the right. The bowl at the bottom of the pattern should appear smooth and rounded, not excessively rough or V shaped. Allow variations. Tall but narrow scallops may look more V shaped than wider scallops, and often a price spike will poke out downward.

[Table 59.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	A reverse J shape with price much higher on the left side than on the right. The bowl should be a concave rounded turn.
Price trend	Look for a downward price trend leading to the scallop. Scallops do occur in uptrends, but that is rare.
Ends	The start and end of the pattern should not be near one another in price. The end (right peak) usually retraces 60% of the way up the left side.
Volume	Recedes. Don't discard a scallop because the volume trend is upward.
Breakout direction	Usually downward but can be upward, too. An upward breakout occurs when price closes above the right rim of the pattern. A downward breakout has a close below the bottom of the scallop.

Price trend. The descending scallops I looked at appeared in a downward price trend just over half the time. Since descending scallops work best as